

The lower portion of the table shows how often the measure rule works using various heights in the computation. For example, using the full height (like we did in the example) shows price reaching the target between 63% and 65% of the time, depending on the breakout direction. Cut the height in half, use it in the formula, and the success rate increases. Double or triple the height and the success rate tumbles.

Table 24.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height by subtracting the lowest low from the highest high in the diamond. For downward breakouts, subtract the height from the breakout price. For upward breakouts, add the difference to the breakout price. The result is the price target. Alternatively, the stock can return to the launch price from which it began. The bottom portion of the table shows how often the measure rule works.
Wait for breakout	For best results, wait for price to close outside the diamond trendline border before placing a trade.
Risk/reward	Look for support (risk) and resistance (reward) zones before placing a trade. Those zones are where the trend is likely to pause or even stop. From the current closing price (before the breakout), compute the difference between the zones and the current price. The ratio of the two must be compelling enough to risk a trade.
Busted patterns	See Table 24.9 for help trading a busted downward breakout.

Description	Up Breakout	Down Breakout
Percentage reaching half height target	83%	86%
Percentage reaching full height target	65%	63%
Percentage reaching 2× height	40%	30%
Percentage reaching 3× height	29%	16%